

Unit 1 & 2 — Introduction to Accounting, Cost Accounting & Management Accounting

(Weightage: 5% combined | Theory only — concepts/conventions excluded)

1. Define Accounting

Accounting is the process of identifying, measuring, recording, classifying, summarizing, analysing and communicating financial transactions and events of a business, in terms of money, to enable users to make informed decisions.

2. Attributes (Characteristics) of Accounting — any three

- **Identification of transactions:** Only economic/financial events are identified for recording.
- **Measurement in money terms:** Transactions are expressed in a common monetary unit for comparability.
- **Recording (Journalising):** Transactions are recorded chronologically in books of original entry.
- **Classifying:** Similar transactions are grouped under common heads (ledger accounts).
- **Summarizing:** Classified data is presented as trial balance, P&L, and Balance Sheet.
- **Communicating:** Financial information is reported to users (owners, management, creditors, government). *(Explain any three from the above with one line each.)*

3. "Only Financial Transactions are Recorded in Accountancy"

Accounting records only those transactions/events that can be expressed in monetary terms and affect the financial position of the business (e.g., purchase of goods, payment of salary). Events with no monetary impact — however important — like the appointment of a manager, a labour strike, or good relations with employees, are not recorded, since they cannot be objectively measured in money.

4. Meaning of "Recording in Terms of Money"

It means that only those business transactions which can be expressed/measured in a common monetary unit (₹, \$, etc.) are recorded in the books. Money acts as a common denominator, enabling heterogeneous items (machinery, stock, cash) to be added, compared, and reported meaningfully.

5. Define Accounting + Three Objectives

Definition: as in Q1. **Objectives:**

1. **Maintaining systematic records** of all financial transactions.
2. **Ascertaining profit or loss** of the business for a given period (via Trading & P&L A/c).
3. **Ascertaining financial position** of the business (via Balance Sheet — assets, liabilities, capital).

6. Five Objectives of Accounting

1. Systematic recording of transactions.
2. Ascertainment of profit/loss.
3. Ascertainment of financial position.
4. Providing information to users for decision-making.
5. Protecting business assets and preventing/detecting fraud and errors. *(Also acceptable: ensuring legal/statutory compliance, facilitating comparison.)*

7. Branches of Accounting

- **Financial Accounting** — records transactions, prepares final accounts.
- **Cost Accounting** — ascertains and controls cost of production.
- **Management Accounting** — provides information for managerial planning, control, and decision-making. *(Some syllabi add: Social Responsibility Accounting, Human Resource Accounting, Tax Accounting.)*

8. "Non-Monetary Transactions are Not Recorded in the Books of Account"

Accounting is limited to transactions capable of monetary measurement. Non-monetary/qualitative factors — employee skill, staff morale, quality of management, market goodwill in a subjective sense, industrial disputes — significantly affect the business but are excluded because they cannot be objectively expressed in money. This is a recognised limitation of financial accounting.

9. Define Accounting + Three Limitations of Financial Accounting

Definition: as in Q1. **Limitations:**

1. **Records only monetary transactions** — ignores qualitative factors.
2. **Historical in nature** — shows only past performance, not future projections.
3. **Ignores price-level changes** — assets are recorded at historical cost, ignoring inflation.

10. Limitations/Deficiencies in Ascertaining Periodic Profit/Loss

Financial accounting aims to ascertain periodic profit/loss but suffers from:

- **Historical cost basis**, ignoring current/replacement values.
- **No cost control mechanism** — shows overall profit, not cost efficiency of departments/products.
- **No basis for price fixation** — total cost per unit is not available.
- **Inadequate for decision-making** — does not classify costs as fixed/variable, controllable/uncontrollable.
- **No standards for comparison** — actual performance cannot be measured against a benchmark.
- **All-inclusive figures** — cannot pinpoint reasons for a loss/low profit or the profitability of individual products/departments.

11. Drawbacks of Conventional Financial Accounting — Overcome by Cost Accounting?

Drawbacks:

- No product/process-wise cost data.
- No cost control or cost reduction tools.
- No basis for pricing decisions.
- Ignores wastage, idle time, inefficiency analysis.
- Historical, so not useful for future planning.
- No classification into fixed/variable/controllable costs.

Yes, cost accounting largely overcomes these by providing: detailed cost records (material, labour, overheads), standard costing and variance analysis for control, marginal costing for decision-making, budgeting for planning, and cost classification for managerial use.

12. Cost Accounting — Meaning, Objectives, Role in Planning & Control

Meaning: Cost Accounting is the process of accounting for cost, which begins with recording of income and expenditure and ends with preparation of periodical statements for ascertaining and controlling costs. **Objectives:**

- Ascertainment of cost per unit/job/process.
- Cost control and cost reduction.
- Guiding pricing policy.
- Providing basis for managerial decisions.
- Ascertaining profitability of each product/activity. **Role in Planning & Control:** Cost records provide data for budgeting (planning) and standard costing/variance analysis (control),

enabling comparison of actual vs. planned performance, identification of inefficiencies, and corrective action.

13. Cost Accounting vs. Financial Accounting — 5 Points of Distinction

Basis	Financial Accounting	Cost Accounting
Purpose	Ascertains overall profit/loss	Ascertains cost & profitability of each product/job
Users	External (shareholders, creditors, govt.)	Internal (management)
Recording	Historical, after transaction	Historical + estimated, continuous
Statutory requirement	Compulsory for all companies	Compulsory only for specified industries
Format	Prescribed formats (Companies Act)	No fixed format; as per management need

14. Report to Management — SV Ltd. (Need for Cost Accounting)

To: The Board of Directors, SV Ltd. **Subject:** Need for a Cost Accounting System

Financial accounting shows only the overall profit/loss and financial position of the company; it does not reveal the cost of each product, department, or process, nor does it help in controlling costs or fixing selling prices scientifically. A cost accounting system would provide detailed, product-wise cost data, enable comparison of actual costs against standards, support budgeting, help detect wastage/inefficiency, and assist in pricing and make-or-buy decisions. Hence, despite a sound financial accounting system, installation of cost accounting is recommended to strengthen internal control and decision-making.

15. Costing vs. Cost Accounting vs. Cost Accountancy

- **Costing:** The technique and process of ascertaining costs (i.e., the mechanics of cost ascertainment).
- **Cost Accounting:** The formal system of recording, classifying, and summarizing cost data (costing + presentation/reporting).
- **Cost Accountancy:** The broadest term — application of costing and cost accounting principles for the purpose of cost control, cost reduction, and managerial decision-making. It includes costing, cost accounting, cost control, and cost audit.

16. "Cost Accounting is an Unnecessary Luxury" — Do You Agree?

Disagree. Cost accounting is a necessity, not a luxury, because it:

- Helps ascertain true cost and fix competitive selling prices.
- Identifies areas of wastage and inefficiency for cost control/reduction.
- Provides data for budgeting and standard costing.
- Assists in make-or-buy, shut-down, and pricing decisions.
- Is statutorily mandated for certain industries under Cost Audit rules. Hence it is a value-adding managerial tool, not a luxury.

17. Evolution of Cost Accounting (Brief)

Originated in the early 20th century (post-Industrial Revolution) as businesses grew complex and financial accounting proved insufficient for internal control. Evolved through stages: simple cost recording → standard costing and budgetary control (early-mid 1900s) → marginal costing → management accounting integration (mid-1900s onward) → modern techniques like ABC, Target Costing, and Lean/JIT costing (late 20th century onward), driven by increasing competition and need for cost efficiency.

18. Importance of Cost & Management Accounting for Engineers — any five

1. Helps in **estimating and controlling production costs** in design/manufacturing decisions.
2. Assists in **make-or-buy decisions** for components.
3. Enables **cost-effective material and process selection**.
4. Supports **capital budgeting** for plant/equipment investment.
5. Aids in **value engineering/cost reduction** during product design.
6. Helps evaluate **project feasibility and profitability**.

19. Define Management Accounting + Objectives

Definition: Management Accounting is the application of accounting and costing techniques to provide information for planning, controlling, and decision-making by management. **Objectives:**

- Assisting in **planning** (budgets, forecasts).
 - Aiding **decision-making** (via cost-volume-profit analysis, marginal costing).
 - Facilitating **control** (variance analysis, standard costing).
 - **Coordinating** activities across departments.
 - **Reporting** performance to management for corrective action.
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Unit 3 — Cost Concepts and Classification

(Weightage: 10%)

1. Need for Cost Classification

Classification groups costs based on common characteristics (nature, function, behaviour, controllability) so that costs can be analysed meaningfully. It is needed for: cost ascertainment, cost control, decision-making, fixing responsibility, and preparing cost statements/budgets in a structured, comparable manner.

2. Methods (Bases) of Cost Classification — Chart

Cost Classification

└─ By Nature/Element	→ Material, Labour, Expenses
└─ By Function	→ Production, Administration, Selling, Distribution, R&D
└─ By Behaviour	→ Fixed, Variable, Semi-Variable
└─ By Controllability	→ Controllable, Uncontrollable
└─ By Normality	→ Normal, Abnormal
└─ By Traceability	→ Direct, Indirect
└─ By Time	→ Historical, Predetermined
└─ By Decision-Making Relevance	→ Marginal, Differential, Opportunity, Sunk, Relevant/Irrelevant

3. Elements of Cost — Chart

Total Cost

└─ Material Cost	→ Direct Material + Indirect Material
└─ Labour Cost	→ Direct Labour + Indirect Labour
└─ Expenses	→ Direct Expenses + Indirect Expenses (Overheads)

Prime Cost = Direct Material + Direct Labour + Direct Expenses

Overheads = Indirect Material + Indirect Labour + Indirect Expenses
(Factory OH + Administration OH + Selling & Distribution OH)

4. Direct Material Cost vs. Indirect Material Cost (3 industries)

Direct Material: Traceable directly to and forming part of the finished product. **Indirect**

Material: Used in production but not traceable to a specific unit/product.

Industry	Direct Material	Indirect Material
Furniture manufacturing	Wood, plywood	Nails, glue, polish
Textile industry	Cotton/yarn	Lubricants for machines
Bakery	Flour, sugar, butter	Cleaning supplies, packaging tape

5. Four Tests to Decide Direct vs. Indirect Material

1. **Traceability** — can it be directly traced to a specific unit of product?
2. **Significance of value** — is the amount significant enough to track separately?
3. **Convenience of allocation** — can it be conveniently and economically identified with the product?
4. **Physical association** — does it physically become part of the finished product?

6. Functional Classification of Costs

Costs are classified by the function/department they relate to:

- **Factory/Production Cost:** Prime cost + factory overheads (manufacturing costs, e.g., factory rent, depreciation of plant).
- **Administration Cost:** Costs of general management, e.g., office salaries, office rent.
- **Selling Cost:** Costs to create/stimulate demand, e.g., advertising, sales commission.
- **Distribution Cost:** Costs to make the product available to customers, e.g., warehousing, delivery/freight.
- **Research & Development Cost:** Costs of developing new products/processes, e.g., R&D lab expenses, prototype testing.

7. Selling Cost vs. Distribution Cost

Selling Cost: Incurred to create and retain demand for the product (e.g., advertising, sales staff salary, market research). **Distribution Cost:** Incurred from the point production is complete until the goods reach the customer (e.g., packing for dispatch, warehousing, transportation/freight outward).

8. Behavioural Classification of Costs (with graphs)

- **Fixed Cost:** Remains constant in total regardless of activity level within a relevant range (e.g., rent, salaries) — graph: horizontal straight line.
- **Variable Cost:** Varies in direct proportion to activity/output (e.g., direct material) — graph: straight line through origin, rising.

- **Semi-Variable (Mixed) Cost:** Has both fixed and variable components (e.g., electricity bill with a minimum charge + usage charge) — graph: upward sloping line not starting at origin.

(Draw: X-axis = Output/Activity level, Y-axis = Cost, three lines as described.)

9. "Fixed Cost is Variable per Unit, Variable Cost is Fixed per Unit"

Total fixed cost stays constant, so **fixed cost per unit falls as output rises** (spread over more units); total variable cost changes with output, but **variable cost per unit remains constant**.

Example: Fixed cost = ₹10,000; Variable cost = ₹5/unit.

Output	Fixed Cost (Total)	FC/unit	Variable Cost (Total)	VC/unit
1,000 units	₹10,000	₹10	₹5,000	₹5
2,000 units	₹10,000	₹5	₹10,000	₹5

FC/unit falls from ₹10 to ₹5; VC/unit stays at ₹5 — proving the statement.

10. Controllable Cost vs. Uncontrollable Cost

Controllable Cost: Can be influenced/regulated by a specific level of management (e.g., material wastage, overtime wages controlled by a supervisor). **Uncontrollable Cost:** Cannot be influenced by a given level of management (e.g., factory rent decided by top management/lease terms, statutory taxes). (*Controllability is relative to the level of management, not absolute.*)

11. Escapable (Avoidable) vs. Inescapable (Unavoidable) Cost

Escapable Cost: Cost that will be eliminated if a particular activity/department/product is discontinued (e.g., direct material, direct labour of that line). **Inescapable Cost:** Cost that continues even after discontinuance, e.g., fixed factory rent, allocated common overheads.

Importance for drop-or-continue decisions: Only escapable/relevant costs and lost contribution should be compared against the benefit of dropping a line; inescapable costs will be incurred regardless, so including them can lead to a wrong decision to drop a product/department that is actually contributing to covering fixed costs.

12. Direct Cost vs. Indirect Cost

Direct Cost: Can be identified with and allocated wholly to a particular cost unit/job/product (e.g., direct material, direct labour, direct expenses). **Indirect Cost (Overheads):** Cannot be

directly identified with a specific cost unit; incurred for the business as a whole or a department and must be apportioned (e.g., factory rent, supervisor's salary, depreciation).